

1. Which of the following is an example of ancillary service?

- **Warranty**
- Promotion
- Labeling
- Packaging

2. Critical path analysis is useful at which stage of the product development Process?

Select correct option:

- **Commercialization**
- Concept development
- Beta testing
- Business Analysis

3. Which of the following BEST describes the consumer's preference for products that are widely available to them?

Select correct option:

- **Production concept**
- Marketing concept
- Selling concept
- Product concept

4. Buying and selling of mass consumer goods and services comes under which of the following markets?

Select correct option:

- Business markets
- Global markets
- **Consumer markets**
- Government markets

5. Which of the following is an advantage that enables business to survive against its competition over a long period of time?

Select correct option:

- Marketing advantage
- **Sustainable competitive advantage**
- Core competency
- Competitive advantage

6. A company designs the product with little or no input from customers, the company is practicing which of the following concept?

Select correct option:

- **Product concept (Emaan)**
- Marketing concept
- Selling concept
- Production concept

7. A firm is producing standardized products and enjoying the economies of scale by producing more. The firm is following which of the following strategy?

Select correct option:

- Differentiation strategy
- **Cost leadership strategy**
- Market dominance strategy
- Market segmentation strategy

8. Which of the following firms' emphasis on product's benefits to the customers rather than on product attributes?

Select correct option:

- Product oriented
- **Market oriented**
- Sales oriented
- Production oriented

9. Which of the following is NOT a technique of measuring customer satisfaction and monitoring customer's complaint?

Select correct option:

- Customer complaints database
- Exit interviews
- Web and telephone information hotlines
- **Business Analysis**

10. The consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort are called:

Select correct option:

- Industrial products
- **Specialty products**
- Unsought products
- Shopping products

11. Additional cost is associated with which of the following strategy?

Select correct option:

- Market segmentation strategy
- Market dominance strategy
- **Differentiation strategy**
- Cost leadership strategy

DIFFERENTIATION STRATEGY

Differentiation involves creating a product that is perceived as unique. The unique features or benefits should provide superior value for the customer if this strategy is to be successful. Because customers see the product as unrivaled and unequaled, the price elasticity of demand tends to be reduced and customers tend to be more brands loyal. This can provide considerable insulation from competition. However there are usually additional costs associated with the differentiating product features and this could require a premium pricing strategy.

12. Financial summary of a marketing plan includes all EXCEPT:

Select correct option:

- Pro-forma income statement
- **Month-by-month agenda**
- Breakeven analysis
- Assumptions

13. Which of the following is NOT a part of consumer adoption process?

Select correct option:

- **Convenience**
- Trail
- Evaluation
- Interest

14. Sales decline in the decline stage of the PLC because of technological advances, increased competition, and ____.

Select correct option:

- Shifts in unemployment
- Shifts in the economy
- **Shifts in consumer tastes and preferences**
- Foreign imports

15. Core competency guides a firm recombining its abilities in response to demands from the:

Select correct option:

- Retailer
- Wholesaler
- **Environment**
- Supplier

16. Which of the following is the task of selecting an overall company strategy for long-run survival and growth?

Select correct option:

- Mid-term planning
- Short-term planning
- Annual market planning
- **Strategic market planning**

17. Insurance service would BEST be described as which kind of a product?

Select correct option:

- Convenience
- **Unsought**
- Specialty
- Durable

18. When any customer does not fully like the product or talks in favor of the product, it is known as.

Select correct option:

- **Bad – mouth**
- Word of mouth
- Bad impression
- Unfavorable products

19. Which of the following is known as a set of marketing tools used by the firms to pursue its marketing objectives in the target market?

Select correct option:

- **Marketing mix**
- Promotion mix
- Offering mix
- Product mix

20. Which of the following is usually the target of a market challenger?

Select correct option:

- Market nicher
- **Market leader**
- Market follower
- Market segment

21. Which of the following is also called an Export market?

Select correct option:

- Consumer market
- Business market
- **Global market**
- Government market

22. Which stage in the PLC normally lasts longer and poses strong challenges to the marketing managers?

Select correct option:

- Introduction
- Growth
- **Maturity**
- Decline

23. Which of the following is an advantage that enables business to survive against its competition over a long period of time.

Select correct option:

- Marketing advantage
- **Sustainable competitive advantage**
- Core competency
- Competitive advantage

24. Pictures and specification of product are added in which of the following part of the marketing plan?

Select correct option:

- Financial summary
- Executive summary
- Situation analysis
- **Appendix**

25. In which stage of the product life cycle does a product reach its peak sales?

Select correct option:

- Introduction
- Growth
- **Maturity**
- Decline

26. Which of the following is NOT included in product decisions?

Select correct option:

- Styling
- Brand name
- **Warehousing**
- Packaging

27. Which of the following is a goal-directed summary of a person's experience, education and training developed for use in the selection process?

- Curriculum vitae
- Educational record
- Career goal
- Interview questioning

28. Which of the following force makes an individual eligible to make decisions, give orders & directing work activities of others?

- Power
- Influence
- Authority
- Command

29. Previous company records & customer satisfaction surveys may serve as a source for:

- Cultivating learning culture within the organization

- Determining deficiencies that require training
- Developing career development plans for employees
- Identifying training outcomes through evaluation

30. Which one of the following is termed as embargo?

- Budget reforms
- Heavy taxes
- **Strongest form of quota**
- Heavy trade deficit

31. Which one of the following is designated as a runner-up firm that chooses not to rock the boat (usually out of fear that it stands to lose more than it might gain)?

- Market leader
- Market challenger
- **Market follower**
- Market niche

32. Review of the sales, costs and profit projections for a new product to find out whether these factors satisfy the company's objectives comes under which one of the following concepts?

- **Business Analysis**
- Product Development
- Test Marketing
- Commercialization

33. The concept of market _____ arranges for a product to occupy a clear, distinctive, and desirable place relative to competition.

- **Positioning**
- Place
- Price
- Product

34. Which one of the following authorities might use several tools like news, speeches and special events for the marketing purpose?

- Advertising agencies
- Advertising specialists
- **Public relation professionals**
- Computer programmers

35. Lobbying or building and maintaining relations with legislators and government officials to influence legislation and regulation are part of which one of the following options?

- **Business ethics**
- Press relations
- Press agencies
- Public relations

36. The standards set for salespeople, stating the quantity they should sell and how sales should be divided among the company's products refers to which one of the following options?

- Sales goals
- Company quotas
- **Sales quotas**
- Sales incentives

37. A growing trend for many companies is to use a group of people from sales, marketing, engineering, finance, technical support and even upper management to service large, complex accounts. It refers to which one of the following approaches?
- Department selling
 - Multiple selling
 - **Team selling**
 - Simultaneous selling
38. To reduce time demands on their outside sales forces, many companies have increased the size of their inside sales forces, which include technical support people and sales assistants. Which one of the following can also be another part of the sales force?
- Order takers
 - Order getters
 - **Telemarketers**
 - Secretaries
39. When a firm sets out to analyze, plan, implement, and control sales force activities through sales force management. What does it set and design?
- Team selling efforts
 - Promotional objectives
 - Sales territories
 - **Sales force strategies**
40. The principles of personal selling described as which one of the following orientation?
- Service orientation
 - Customer orientation
 - Transaction orientation
 - **Relationship orientation**

41. Which of the following communication and promotion tools involve direct connections with customers aimed toward building customer-unique value and lasting relationships?
- **Personal selling and direct marketing**
 - Public relation and publicity
 - E-commerce and e-business
 - Advertising and sales promotion
42. The various stages of the personal selling process are illustrated below, which one of the following is NOT specific roles of the sales representative?
- Negotiating and closing the sale
 - Sales presentation
 - Prospecting
 - **Devising product strategy**
43. Fraudulent usage, inability to attract potentially brand-loyal customers and use by current customers but not new customers are believed to be disadvantages of which of the following?
- Money refunds
 - **Frequent-user incentives**
 - Coupons
 - Premiums
44. Expensive Coca-Cola television ads primarily are a type of which of the following advertising?
- **Informative advertising**
 - Comparative advertising
 - Persuasive advertising
 - Reminder advertising
45. In which of the following advertising a company directly or indirectly compares its brand with one or more other brands?

- Informative advertising
- Institutional advertising
- Reminder advertising
- **Comparative advertising**

46. Communication through a news story regarding an organization or its products that is transmitted through a mass medium at no charge, refers to which one of the following promotion mix?

- Advertising
- Sales promotion
- Personal selling
- **Public relations**

47. Slow feedback, high costs and difficulty in measuring effects on sales are disadvantages of which one of the following promotion mix ingredient?

- Public relations
- Sales promotion
- Personal selling
- **Advertising**

48. Which one of the following takes possession of truckloads of tomatoes, arranges for storage, and transports them to auctions to be sold?

- Buying agent
- Commission broker
- **Commission merchant**
- Selling broker

49. Which one of the following is the primary purpose of a broker?

- Take title to a producer's goods
- Sell directly to the final consumer
- Sell directly to producers
- **Bring buyers and sellers together**

50. If a retailer needed help with store design and training sales personnel, it would most likely use the services of which of the following wholesalers?

- **Full-service wholesaler**
- Full-price wholesaler
- Rack jobber
- Cash-and-carry wholesaler

51. Which one of the following statements refers to manual order processing?

- Integrates the order processing and production planning
- **Is flexible in special situations**
- Is practical for a large volume of orders
- Is the most widely used form of order processing

52. Which one of the following concept reflects the term "Order processing"?

- Is the same as order handling
- Is characterized by electronic processing
- **Is the receipt and transmission of sales order information**
- Is the second stage in a physical distribution system

53. Order processing, inventory management, materials handling, warehousing, and transportation fall under which of the following activities?
- Wholesaling
 - Retailing
 - **Physical distribution**
 - Channel management
54. The success of each channel member depends on the performance of which of the following?
- Key channel members
 - **The entire supply chain**
 - The manufacturer
 - The wholesaler
55. Nationally distributed consumer convenience products such as cigarettes are MOST likely distributed through which of the following channels?
- Producer, agents, wholesalers, retailers, consumers
 - Producer, wholesalers, consumers
 - **Producer, wholesalers, retailers, consumers**
 - Producer, industrial distributor, wholesalers, retailers, consumers
56. ABC Company, the sportswear designer and manufacturer, decided to open its own specialty shops to sell its merchandise. The firm was engaging in which of the following channels?
- Vertical channel integration
- A conventional marketing channel
 - Horizontal channel integration
 - Channel expansion
57. Which one of the following statement about price changes is TRUE?
- Large-market share brands are hurt more by price changes than smaller companies
 - **Temporary retail price reductions substantially decrease store traffic**
 - Brand equity is unaffected by frequent price changes
 - Price changes for high-quality brands affect private label brands and weaker brands disproportionately
58. Which one of the following pricing policy may result in losing money on the product?
- Psychological discounting
 - Penetration pricing
 - **Special-event pricing**
 - Price leader
59. Quantity discounts are a legal form of price discrimination. A quantity discount is a price reduction to buyers who purchase ____.
- **Large volumes**
 - Inferior merchandise
 - Superior merchandise
 - Frequently
60. Which one of the following pricing method is the simplest pricing method?
- Value-based

- Fixed cost
- **Cost-based**
- Skimming

61. When Kodak sets the general price range, low for its cameras and set high for its related film , it is practicing which one of the following pricing?
- Market-penetration pricing
 - Market-skimming pricing
 - Product line pricing
 - **Captive-product pricing**
62. Which of the following is NOT a major factor for making firms price decisions?
- Environmental factors
 - Marketing objectives
 - **Past sales**
 - Marketing mix strategy
63. Which one of the following statement reflects the market share pricing objective?
- Is not recommended when sales for the total industry are declining
 - Is not especially useful when sales for the total industry are increasing
 - Is not especially useful when sales for the total industry are flat
 - **Can be used effectively whether total industry sales are rising or falling**

64. The consumer decides to make use of the product on a regular basis. Which one of the following concepts BEST describe it?
- Awareness
Interest
- Trial
 - **Adoption**

65. Which of the following are industrial products that aid in the buyer's production or operations, including installations and accessory equipment?
- Materials
 - Specialty items
 - **Capital items**
 - Supplies
66. What is the stage of the buyer decision process in which the consumer uses information to evaluate brands in the choice set?
- **The alternative evaluation stage**
 - The situational stage
 - The experimental stage
 - The informative stage

67. Which one of the following factor influences the consumer buying decision process?
- Person-specific
 - Social
 - **Demographic**
 - Situational

68. Marketing researchers usually draw conclusions about large groups of consumers by studying which of the following small component of the total consumer population?
- Group
 - **Sample**
 - Target group
 - Audience
69. "Consumers are spending more on products and services that will improve their lives rather than their image" reflects which aspect of the cultural environment?
- **People's view of others**
 - People's view of themselves
 - People's view of organizations
 - People's view of nature
70. Which one of the following is NOT a part of marketing channel firms (intermediaries)?
- Physical distribution firm
 - Marketing service agency
 - Financial intermediary
 - **Stock exchange**
71. Which one of the following set represents 4 C's of the marketing mix?
- **Customer Solution, Cost, convenience, communication**
 - Customer, cost, convenience, comfort
 - Convenience, communication, coverage, cost
 - Cost, coverage, communication, consultancy
72. Which of the following is an intensive growth strategy of increasing sales in current markets with current products?
- Market development
 - **Market penetration**
 - Product development
 - Market saturation
73. Identify the first step in the strategic marketing planning process?
- **The writing of the mission statement**
 - The establishment of organizational objectives
 - The formulation of a marketing plan
 - Hiring a senior planner
74. In the Boston Consulting Group approach, which one of the following measure provides a measure of market attractiveness?
- Business portfolio
 - BCG matrix
 - **Market growth rate**
 - Relative market share
75. Which one of the following statements is an example of a problem that may arise in the implementation of the marketing concept?
- Dissatisfaction of one segment affects the satisfaction of other segments
 - **Consumers do not understand what the marketing concept is**
 - Dealers do not support the marketing concept

- A product may fit the needs of too many segments

76. Which one of the following statements by a company chairman BEST reflects the marketing concept?

- **We have organized our business to satisfy the customer needs**
- We believe that marketing department must organize to sell what we produce
- We try to produce only high quality, technically efficient products
- We try to encourage company growth in the market

77. What does this statement shows "Trade of value between two parties"?

- Competition
- **Transaction**
- Exchange
- Need

78. Which one of the followings best represent the involvement of management and employees in the continuous improvement of the production of goods and services?

- Marketing management
- Customer relationship management
- Knowledge management
- **Total quality management**

79. Which one the following option is related with this statement "Rapid imitation of leader or challenger with moderate country market coverage and emphasis on price sensitive markets. The result is overall moderate share with high shares in selected country markets."

- Global leader strategy
- Global challenger strategy
- Global follower strategy
- Global niche strategy

80. Which of the following is **NOT** a benefit of direct marketing?

- Immediate response
- Customer relationship building
- **Assists client prospecting**
- Greater product access and selection

81. Which one of the following is **NOT** a part of competitive positions?

- Market leader
- Market challenger
- Market follower
- **Market controller**

82. Which one of the following is a position option open to smaller firms that serves some part of the market that is not likely to attract the attention of the larger firms?

- Market leader
- Market challenger
- Market follower
- **Market niche**

83. The retailer is usually in an excellent position to:

- Make the most profits in the channel
- Become the channel leader
- **Gain feedback from consumers**
- Co-ordinate the production strategy

84. A departmental store firm wants to increase sales and reach new markets with direct marketing. To accomplish this, the sales or marketing manager would choose which of the following tool?
- Sales promotions
 - Advertising
 - **Kiosk marketing**
 - Public relations
85. In contrast to vending machines which dispense only products, there are other systems that dispense information and take orders without direct human aid. This system refers to which one of the following options?
- **Kiosks**
 - TV monitors
 - The internet
 - Cell phones
86. Which one of the following is the fastest growing form of marketing that reach more customers and save money?
- Advertising
 - **Direct marketing**
 - Public relations
 - Personal selling
 - Management at Happy Motors must decide what mix of compensation elements to offer their sales force.
87. Which of the following is **NOT** one of the four basic types of compensation plans?
- Straight commission
 - Straight salary
 - Salary and commission
 - Commission and bonuses

88. There are three typical types of sales force structures. Which one is often supported by many levels of sales management positions in specific geographical areas?
- **Territorial**
 - Customer
 - Complex systems
 - Matrix
89. Mr. Tatbeeq sales person from Philips develops a list of potential customers and evaluates them on the basis of their ability, willingness, and authority to purchase copy machines. What is the name of this process?
- Customer search
 - Sales preparation
 - Audience identification
 - **Prospecting**
90. Giving a free sample of a new product by attaching it to the pack of an existing product refers to which one of the following promotion?
- On-pack promotion
 - **New-product promotion**
 - Extra-fill promotion
 - Co-operative discounting
91. Sales promotion includes a wide assortment of tools. Which one of the following is **NOT** one of these tools?
- Contests
 - Premiums
 - **Telephone surveys**
 - Coupons

92. Communication process has different elements that are helpful for communicating message to audience. One of the communication tools is the decoding. Which one of the following statements refers to the “Decoding”?
- Intensity of the transmission becomes stronger
 - **Receiver attempts to convert signs into concepts and ideas**
 - Source attempts to convert signs into concepts and ideas
 - Receiver filters noise from the feedback
93. Which one of the following concepts is considered as the basic role of promotion?
- Information
 - Manipulation
 - **Communication**
 - Interpretation
94. Location is extremely important to a retailer due to which one of the following reasons?
- Suppliers charge more to service stores in certain trading areas.
 - **A desirable location appeals to consumers' emotions and encourages them to buy.**
 - Location is the major determinant of store image.
 - Location determines the trading area from which the store must draw its customers.
95. Which of the following is considered as huge superstores, perhaps as large as six football fields?
- **Hypermarket**
 - Department store
 - General merchandise retailer
 - Discount store
96. A cash-and-carry wholesaler would be expected to:
- Provide transportation
 - **Handle high turnover products**
 - Carry a wide variety of products
 - Provide a wide range of services
97. Which type of wholesaler not only provides transportation and delivers products to retailers, but also provides the service of placing products on retailers' shelves?
- Truck wholesaler
 - Cash-and-carry wholesaler
 - **Rack jobber**
 - Mail-order wholesaler
98. Which one of the following statement **BEST** describes a merchant wholesaler?
- Takes title and possession of goods and sells only to retailers.
 - **Takes title and assumes risk and is generally involved in buying and reselling products.**
 - Does not take title and possession of goods but may facilitate exchange between any two parties.
 - Carry a limited line of fast-moving goods and sell to small retailers for cash
99. Which of the following distribution are used by most television, furniture and small-appliance brands?
- Selective distribution
 - Exclusive distribution
 - **Intensive distribution**
 - None of the given options
100. The standards set for salespeople, stating the quantity they should sell and how sales should be divided among the company's products refers to which one of the following options?
- Sales goals
 - Company quotas

- **Sales quotas**
- Sales incentive

101. When Mr. A is using a channel with only one intermediary, that intermediary is classified as which of the following?

- **Retailer**
- Wholesaler
- Broker
- Producer

102. Relationships among channel members, i.e. producers, wholesalers and retailers, are usually:

- Short-term commitments
- **Long-term commitments**
- Expensive resource commitments
- Only minor commitments

103. Which one of the following is the function of a direct channel of distribution?

- **The flow of products from producers to customers**
- Links producers to other marketing intermediaries
- Takes title to products and resells them
- Manages transportation and warehousing functions

104. Three key issues associated with initiating price change are: the circumstances, the tactics and:
Sales targets

- Bad publicity
- Stock levels
- **Competitor reactions**

105. When a firm or store offers a price reduction to customers who buy during off-peak periods throughout the year, the firm is giving which of the following discount?

- Functional
- **Seasonal**
- Annual
- Credit

Solved by vuZs team

(Marina khan and Zubair Hussain)

For more solved papers please visit

www.vuZs.net